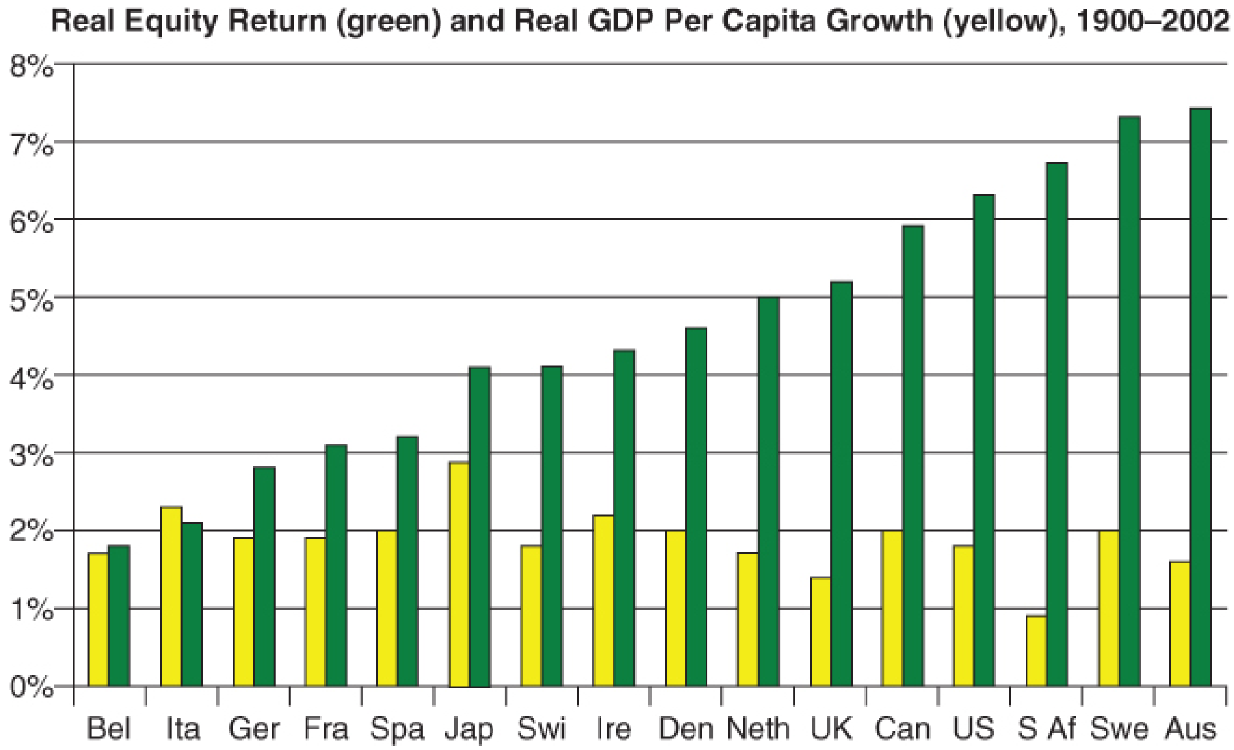

Figure 4.1 Real Equity and Real GDP Per Capita Growth

The figure highlights the fact there is virtually no relationship between stock returns and GDP growth. And yet, investors are so focused on the powerful narrative that GDP growth increases corporate profits, they forget to review the underlying theory or evidence sustaining this bogus story. From a theory perspective, the only way a firm increases stockholder value is by investing firm capital in positive net present value projects. And it is unclear why strong economic growth will contribute to a firm's ability to identify more, or higher yielding, investment projects in a competitive economy (such as which projects the CEO decides to undertake). In some cases, economic growth could make this more difficult.

Buffett made this point painfully clear in his famous 1999 article in *Fortune* magazine. First, the Oracle of Omaha rattles off a handful of transformative high-growth industries that translated into terrible investments (e.g., airlines, automobiles, radios, and televisions). He then leaves us with a profound statement that lays out a logical case that investors shouldn't fall in love with growth for growth's sake: “*The key to investing is not assessing how much an industry is going to affect society, or how much it will grow, but rather determining the competitive advantage of any given company*